



Paytm UPI Growth Challenge

Background

UPI has become an integral part of everyday payments in India. Consumers often use multiple UPI applications, and their choice can vary depending on the payment occasion, merchant experience, convenience, habit, trust and perceived value.

Similarly, merchants may use different payment providers based on their operational needs, customer preferences and the services available to them. Preferences may also differ across cities, commercial clusters and high-frequency payment occasions.

These behaviours create significant opportunities for Paytm to deepen consumer engagement, strengthen merchant relationships and become the preferred UPI application across more payment occasions.

Through this challenge, Paytm invites participants to learn directly from consumers and merchants and develop focused, scalable ideas that can sustainably grow Paytm's share of UPI GMV beyond short-term cashback-led growth.

Challenge

Identify and validate a scalable intervention that can increase Paytm's share of UPI GMV among one clearly defined consumer, merchant or geographic segment.

Your recommendation must originate from primary consumer or merchant research. The objective is not to produce a broad market-share strategy. It is to understand what shapes UPI app choice during specific payment occasions (*typically high GMV, high/low frequency or medium/low GMV but high frequency transactions*) and design a solution that can sustainably increase preference and usage for Paytm.

Each team **must address one** of the following tracks :

Track A: Build Primary-App Preference

Study people who have used Paytm UPI during the last 90 days but currently use another application for the largest share of their UPI payments.

Your research should determine:

- Which UPI application they typically use first and why.
- The payment occasions for which they select Paytm or switches to other applications (or vice versa).
 - High-value, high-frequency transactions.
 - High-value, low-frequency transactions.
 - Medium- or low-value, high-frequency transactions.
 - A combination of these transaction patterns.
- The functional, emotional, habitual or social factors influencing their choice.
- Which barriers or unmet needs currently limit Paytm's share of their UPI spending.
- The role of convenience, trust, reliability, rewards, merchant cues, feature awareness and other relevant factors.
- Which changes could realistically encourage greater preference and usage for Paytm.



The proposed intervention should help Paytm become a more frequent or preferred UPI application for the selected consumer segment.

Track B: Grow Paytm Usage Among Merchants as UPI users

Study business owners and merchants who regularly use UPI to make business-related payments. These may include payments to suppliers and distributors, inventory purchases, utility bills, rent, fuel, logistics providers, employees and other business-service providers.

Merchants may also accept UPI payments from customers, but this track should primarily examine their behaviour as **UPI payers** and the applications they choose for their outgoing business payments.

Your research should determine:

- The major business-related UPI payment use cases for the merchant.
 - High-value, high-frequency transactions.
 - High-value, low-frequency transactions.
 - Medium- or low-value, high-frequency transactions.
 - A combination of these transaction patterns.
- The approximate frequency and transaction value associated with each use case.
- Which use cases contribute the most to the merchant's monthly UPI GMV.
- Which UPI application the merchant uses for each business-payment use case.
- Why the merchant prefers a particular application for each use case.
- Whether the merchant uses one primary UPI application or different applications for different business payments.
- When and why the merchant currently uses Paytm.
- How factors such as reliability, transaction limits, speed, ease of repeat payments, transaction records, reconciliation, rewards, credit, security and customer support influence application preference.
- Whether the merchant's experience of receiving payments through Paytm influences their use of Paytm for making business payments.
- Which needs or barriers currently limit greater usage of Paytm for business payments.
- What could encourage the merchant to use Paytm more frequently or make it their preferred UPI application for business transactions.

The proposed intervention should increase Paytm's penetration among merchant users and measurably grow Paytm's share of their outgoing business-related UPI GMV.

For this track, teams should interview the **business owner or the person who decides how business payments are made**, rather than focusing only on cashiers or employees who receive customer payments.

Track C: Win a High-GMV Geography

Use the latest state-wise UPI statistics published by NPCI (*UPI Statewise statistics* - <https://www.npci.org.in/product/ecosystem-statistics/upi>) to identify a state or region that contributes significantly to India's UPI transaction value.

Within the selected geography, identify a city, commercial cluster or micro-market for primary research. The objective is to understand the payment use cases, transaction characteristics and user segments responsible for the geography's high UPI GMV contribution.

NPCI data should be used to identify **where** UPI value is concentrated. Primary consumer and merchant research should explain **what drives that GMV, who contributes to it and why particular UPI applications are preferred**.



Your research should determine:

- Whether the geography's UPI GMV is primarily driven by:
 - High-value, high-frequency transactions.
 - High-value, low-frequency transactions.
 - Medium- or low-value, high-frequency transactions.
 - A combination of these transaction patterns.
- Which payment use cases contribute the most UPI GMV within the selected geography.
- The typical transaction value and frequency associated with each major use case.
- Which consumer, professional, merchant or business segments contribute most to these use cases.
- Which UPI applications these segments use for different high-GMV use cases.
- Why they prefer a particular application for each use case.
- Whether application preference changes by transaction value, payment frequency, merchant category, time, location or user segment.
- When and why these users currently choose Paytm.
- Which functional, behavioural and local ecosystem factors influence their application choice.
- What could encourage the highest-contributing user segments to adopt Paytm or use it more frequently.
- How a locally relevant intervention could scale to similar high-GMV geographies.

Voice of Customer Requirement*

Every team must conduct and submit 50 unique and relevant Voices of Customer, or VOCs.

The respondents must directly represent the target audience for the selected problem. Depending on the chosen track, the sample may include consumers, merchants or an appropriate combination of both.

The 50 VOCs must include:

- At least 10 in-depth consumer or merchant conversations.
- Responses from people who fit the selected target segment.
- Meaningful variation across relevant user profiles, merchant categories, locations or payment occasions.
- Evidence based on recent payment behaviour, not only general preferences or hypothetical intent.
- Respondents' own words, captured as anonymised verbatims.
- The identified need, motivation or barrier and the team's resulting insight.

**VOC collection template (workbook) attached for reference*



Round 1 Submission

Deliver a **two-page PDF** containing the following:

1. Problem Understanding

- The specific user or merchant problem being addressed.
- The target consumer, merchant or geographic segment.
- The payment occasions affected.
- Why the problem matters for Paytm.
- The estimated size of the opportunity.
- The strongest findings from the 50 VOCs that validate the problem.

2. Proposed Solution

- The solution overview.
- How the solution addresses the validated problem.
- The target audience.
- The value proposition for consumers, merchants and Paytm, as applicable.
- How the recommendation responds directly to insights from the 50 VOCs.
- How the solution could sustainably increase Paytm's share of UPI GMV.

Submit along-side the PDF, the attached workbook with 50 VOCs. The workbook is supporting evidence and does not count toward the two-page PDF limit.